Figure 16-6

dox low occurred in 1981 and preceded a *double* zigzag, labeled A-B-C-X-A-B-C.) This form makes the wave structure from 1946 to 1993 a classic depiction of first and second waves of large degree to the downside.

Although the percentage gain in bonds from the 1981 low to the 1993 peak was the biggest in U.S. history, it retraced only half of the percentage damage done in the previous decline! This fact provides some perspective on how much price erosion had occurred from 1946 to 1981 and supports the case that the direction of the true underlying trend is down.

A Bull Market in Interest Rates

For those more comfortable with viewing charts of *bull* markets, Figure 16-7 shows the long term picture from 1941 in short term Treasury bill yields. Notice how wave (II) has bottomed near the .382 retracement level and the low of wave IV in the early 1970s, just as most bond yields did. All the charts in this chapter convey the same message: A long term bull market in interest rates (and bear market in IOU prices) was interrupted for twelve to thirteen years and has just resumed its multi-decade rise.